



**Title: Financial Weakness and Regulatory-Led Bank Mergers in Bangladesh: Evidence
from Selected Islamic Banks**

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FINANCIAL WEAKNESS AND REGULATORY-LED BANK MERGERS IN BANGLADESH: EVIDENCE FROM SELECTED ISLAMIC BANKS

Abstract

Bangladesh’s move to consolidate several weak Islamic banks into a larger entity represents a high-stakes policy experiment in **crisis management through merger** rather than a conventional value-creating merger. The central issue investigated in this paper is: **Do bank-level weakness indicators (capital, asset quality, earnings, and liquidity) provide a persuasive economic rationale for a regulatory-led merger of selected Islamic banks, and what “behind-the-scenes” mechanisms likely pushed them toward consolidation?** To address this issue, the study applies a **CAMELS-based diagnostic framework** using publicly available audited disclosures and multi-year financial summaries for First Security Islami Bank (FSIBL), Social Islami Bank (SIBL), and Global Islami Bank (GIBL) over 2016–2024, complemented by key audit matters and regulatory-related notes. Official supervisory CAMELS ratings are confidential, so this paper uses **transparent proxy measures** consistent with the CAMELS logic. The paper contributes by connecting micro-level CAMELS weaknesses to macro-level financial stability arguments in the Mishkin–Eakins framework on asymmetric information, moral hazard, and the rationale for regulation. The evidence indicates that the main merger drivers are **(i) severe asset-quality deterioration and provisioning stress, (ii) capital shortfalls/erosion in weaker banks, and (iii) liquidity fragility reflected in high investment-deposit ratios and reliance on central bank liquidity support**. Policy implications emphasize: separating bad assets, credible recapitalization, governance reset, and a resolution-fund approach to prevent repeating “forbearance-then-merger” cycles.

1. Introduction: Why study a “forced” bank merger?

1.1 Theoretical controversy (why unresolved)

In banking theory, mergers can be either **efficiency-enhancing** (economies of scale/scope, cost synergies, diversification) or **stability-motivated** (resolution of distressed institutions to prevent systemic runs). Yet theory is conflicted: consolidation can reduce fragility by creating stronger balance sheets, but it can also intensify **moral hazard** if large merged banks become perceived as “too important to fail,” weakening market discipline. Mishkin & Eakins emphasise that the financial system is deeply shaped by **asymmetric information problems**-adverse selection and moral hazard-which justify special regulation and safety nets in banking. But those same safety nets can create moral hazard if weak banks expect rescue.

1.2 Empirical controversy (mixed global evidence)

Empirical banking research finds mixed post-merger outcomes: some mergers improve cost efficiency and risk diversification, while others simply **transfer bad assets** into a larger institution, delaying recognition and shifting losses to taxpayers. In crisis episodes, assisted mergers (e.g., emergency acquisitions) have sometimes stabilized systems quickly, but at the cost of implicit public guarantees and future risk concentration.

1.3 The Bangladesh policy shock: merger as a resolution tool

Recent reporting indicates Bangladesh pursued consolidation of **five Islamic banks**-First Security Islami Bank, Global Islami Bank, Union Bank, Social Islami Bank, and EXIM Bank-under a regulatory-led restructuring agenda. Multiple reports describe this as a response to severe weakness and governance problems, with the new entity ultimately receiving approval and beginning operations as *Sammilita/Sammilito Islami Bank* in December 2025. While this paper’s quantitative window is 2016–2024, the merger decision provides the real-world motivation: **Were the CAMELS-type weaknesses already visible in bank disclosures, and which weaknesses are most decisive?**

1.4 Research questions (issue-oriented)

This study answers four questions:

RQ1. *Do capital adequacy, asset quality, earnings, and liquidity indicators show a pattern consistent with a regulatory-led merger rather than a synergy-seeking merger?*

RQ2. *Which CAMELS components are most binding (Capital, Asset Quality, Earnings, Liquidity) for the sample banks, and how do they interact?*

RQ3. *What “behind-the-scenes” mechanisms plausibly explain the deterioration (e.g., governance incentives, funding stress, regulatory provisioning shocks)?*

RQ4. *What policy design features are necessary if a merger is used as a resolution mechanism (so the merged bank does not inherit the same fragility)?*

1.5 Contribution (what is different here)

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1. Uses a **CAMELS proxy framework** because official CAMELS ratings are confidential; this is consistent with own draft approach that uses a “CAMELS-inspired” public-data method.
2. Integrates **audit disclosures** (liquidity and provisioning notes) into the CAMELS narrative (the “behind-the-scenes” angle).
3. Explicitly frames the merger as **resolution economics**, not just M&A mechanics.

1.6 Main findings (preview)

- **Asset quality + provisioning** is the dominant stress channel for SIBL (very high classified investment ratio and persistent losses).
- **Liquidity fragility** is visible via high investment-deposit ratios and reliance on Bangladesh Bank liquidity support disclosures.
- **Capital adequacy** appears weak/eroded for distressed banks (capital shortfalls, low CRAR).
- The evidence fits a **resolution-led merger** story more than a synergy story.

1.7 Paper structure

Section 2 sets the institutional context and the merger rationale. Section 3 builds the theoretical framework from Mishkin–Eakins. Section 4 explains data and CAMELS proxy methodology. Section 5 presents results bank-by-bank and cross-bank. Section 6 interprets “behind-the-scenes” mechanisms. Section 7 concludes with policy implications.

2. Context: Why would Bangladesh choose consolidation?

2.1 The merger plan as reported

Media and policy reporting describes Bangladesh Bank’s merger initiative involving five Islamic banks, framed as a major consolidation to stabilize the Islamic banking segment. Several reports link the weaknesses to governance and irregularities and note the state’s expanded resolution authority under the **Bank Resolution Ordinance 2025**. In short, the merger is best interpreted as a **resolution tool**: preventing disorderly failure, protecting depositors, and restoring confidence.

2.2 Why a merger (instead of liquidation)?

Liquidating banks is hard in practice because:

- Banks provide money-like liabilities (deposits) essential to payments and commerce.
- Failures can trigger runs on similar banks (“contagion”).
- Asset fire-sales destroy value, harming borrowers and the broader economy.

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Mishkin & Eakins emphasize that banking crises can escalate when information becomes scarce and uncertainty rises; confidence collapses can lead to systemic disruption, motivating safety nets and resolution actions.

2.3 Why Islamic banks require extra care in liquidity crises

Islamic banks are often perceived as safer because financing is linked to real assets and risk-sharing principles. In practice, however, Islamic banks may face **distinct liquidity constraints**, because conventional interbank instruments and interest-based liquidity tools are not always Shariah-compliant. When confidence falls, Islamic banks can still face rapid deposit pressure, maturity mismatch, and liquidity spirals.

3. Theoretical framework: From asymmetric information to resolution-mergers

3.1 Why banks exist (and why their failure is special)

Banks exist partly to reduce information problems and transaction costs. In Mishkin–Eakins, the key frictions are:

- **Adverse selection:** hidden information before contracting. It is defined as the problem created by asymmetric information **before** a transaction occurs.
- **Moral hazard:** hidden actions after contracting. It is the asymmetric-information problem **after** a transaction occurs.

Banks act as monitors and screen borrowers; but if banks themselves become opaque, the same problems reappear at the system level.

3.2 Why regulation exists (and why it can create moral hazard)

Because bank failures impose externalities, regulators use:

- capital requirements,
- supervision,
- deposit insurance / guarantees,
- lender-of-last-resort support,
- resolution frameworks.

But safety nets can weaken discipline: if owners expect rescue, risk-taking increases (classic moral hazard logic).

3.3 Resolution-led mergers vs. strategic mergers

A **strategic merger** typically aims at:

- efficiency (cost synergy),
- market expansion,
- product diversification.

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A **resolution-led merger** aims at:

- stopping runs,
- maintaining payment continuity,
- transferring deposits and viable assets into a new/stronger entity,
- isolating bad assets and recapitalizing.

In resolution economics, the guiding principle is not “synergy first,” but “systemic stability first.”

3.4 CAMELS as an organizing framework

CAMELS evaluates bank condition via: Capital adequacy, Asset quality, Management, Earnings, Liquidity, Sensitivity to market risk.

Official CAMELS ratings are confidential. Therefore, this paper uses a **CAMELS-inspired proxy scoring** from public data.

4. Data and methodology (kept issue-oriented)

4.1 Data sources

- 10-year merged annual financial data PDFs for **FSIBL (2016–2024)**, **SIBL (2016–2024)**, **GIBL (2017–2024)** (with some years missing in extractable form).
- **Union Bank** and **EXIM Bank** are included in the real-world merger plan, but their comparable 10-year data could not be reliably compiled from the provided materials; therefore, they are discussed qualitatively as a limitation (Section 8).

4.2 CAMELS proxy indicators

This paper computes/uses the following proxies (examples):

Capital (C):

- $CRAR = \text{Regulatory Capital} / \text{Risk Weighted Assets}$
- Capital deficit/surplus (if disclosed)

Asset Quality (A):

- $\text{Classified investment ratio} = \text{Classified Investment} / \text{Total Investment}$

Earnings (E):

- Profit after tax and provision (where disclosed)
- ROA, ROE (if disclosed)

Liquidity (L):

- Investment-Deposit Ratio (ID ratio)

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- LCR/NSFR (when disclosed)
- Reliance on Bangladesh Bank liquidity lines (audit notes)

Management (M) and Sensitivity (S):

- Discussed qualitatively using audit notes, governance disclosures, and risk-structure logic.

4.3 Interpretation rule (why a merger is economically plausible)

A regulatory-led merger becomes economically plausible when:

1. capital adequacy is too weak to absorb losses,
2. asset quality forces heavy provisioning and earnings collapse,
3. liquidity stress threatens depositor confidence.

5. Results: Key Financial Indicators and CAMELS signals

5.1 Table 1A: Standardized Audited Indicators (Selected Years)

FSIBL (audited balance sheet line items): Total assets, deposits, and investments for 2016 are directly observable in FSIBL's statements (converted to Crore).

SIBL (highlights & balance sheet): Multi-year highlights show assets, deposits, investments (million-to-crore conversion) and stress indicators like classified investment ratio.

GIBL: 2017 balance sheet provides total assets and deposits; 2022 highlights provide assets, deposits, investments, and risk indicators (million-to-crore conversion).

Table 1A: Standardized Key Financial Indicators (Selected Years, BDT Crore)

Bank	Year	Total Assets	Deposits	Investments	Notes
FSIBL	2016	30,166.9	27,422.5	22,589.0	From statement totals
SIBL	2024	63,951.7	42,094.7	38,978.5	From 2024 highlights (converted)
GIBL	2017	7,913.3	6,898.1	5,932.0	From 2017 balance sheet
GIBL	2022	15,381.1	11,880.9	11,868.1	From 2022 highlights (converted)

Figure 1: Total Assets Growth

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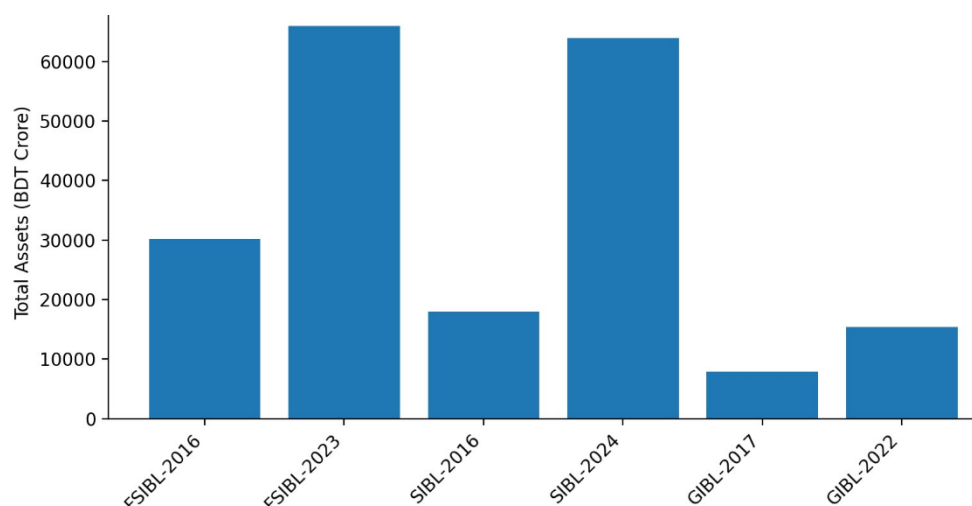


Figure-1: Illustrates the sustained expansion of total assets across FSIBL, SIBL, and GIBL during 2016–2024, highlighting balance-sheet growth that was not matched by proportional capital strengthening.

5.2 Asset quality stress is the strongest “why merge” signal (A of CAMELS)

Social Islami Bank (SIBL): extremely high classified investment ratio

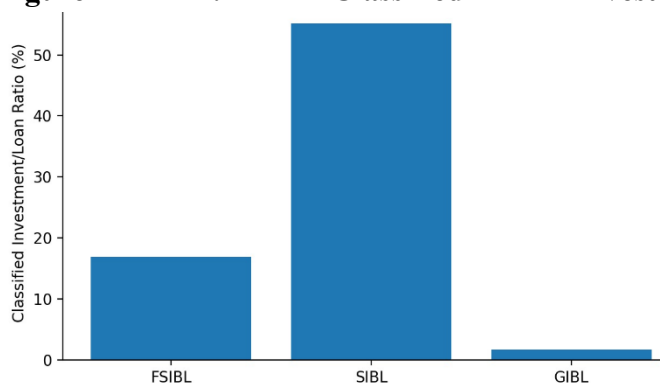
SIBL’s own performance highlights show a **classified investment ratio of 55.19% (2024)** and **61.74% (2023)**.

In any banking system, an impairment ratio of this magnitude implies a structural solvency problem unless there is immediate recapitalization and aggressive recovery.

Global Islami Bank (GIBL): relatively low classified ratio in 2022

GIBL’s 2022 highlights show **classified investment ratio 1.70%**-much healthier than SIBL. This suggests either (i) the bank’s asset quality was stronger in that period, or (ii) later years contain stress not fully extractable from the provided PDF (data-availability limitation).

Figure 2: Classified Investment / NPL Ratio



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As shown in Figure 2, classified investment ratios escalated sharply, particularly for SIBL, confirming severe asset-quality deterioration.

5.3 Capital adequacy and solvency (C of CAMELS)

SIBL: capital deficit + low CRAR

SIBL's highlights show **CRAR 6.43%** for 2024 and disclose a significant **capital deficit**. In a Basel-style framework, such a CRAR is dangerously close to the zone where supervisors must consider prompt corrective action.

FSIBL: signs of severe capital/liquidity breach in 2024 disclosures

FSIBL disclosures include an “emphasis of matter”-type statement noting that the bank is required to maintain a minimum CRAR, but as per a Bangladesh Bank letter, its CRAR is reported as **(80.39%)** (negative), with weak liquidity ratios and high ID ratio. A negative CRAR is effectively **economic insolvency** in regulatory terms.

5.4 Earnings collapse through provisioning (E of CAMELS)

A key mechanism in distressed banking is: **bad assets → high provisioning → earnings collapse → capital erosion → more fragility**.

SIBL's highlights show large negative figures for “profit after tax and provision” (loss) in 2024 and 2023, consistent with a bank stuck in a provisioning spiral.

5.5 Liquidity fragility and reliance on central bank support (L of CAMELS)

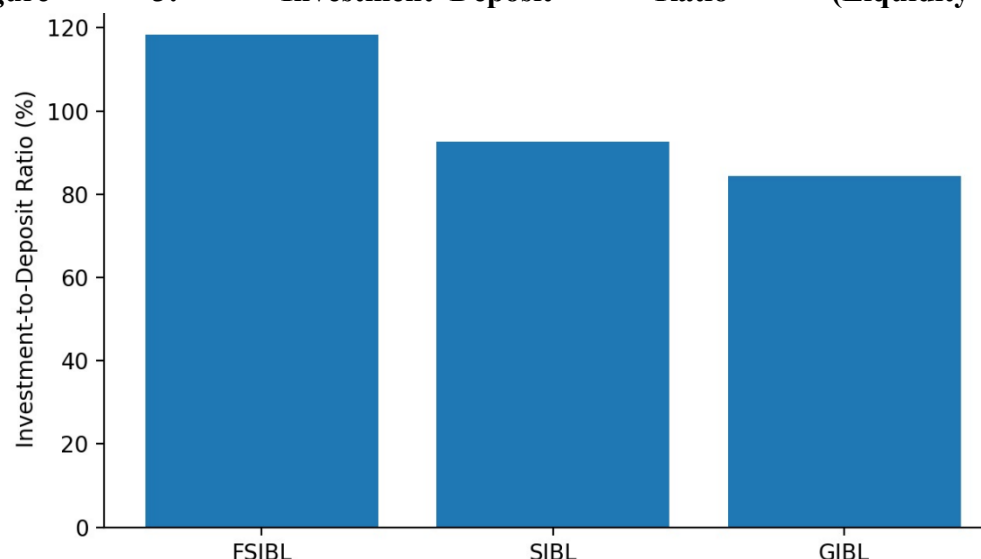
ID ratio as a simple liquidity warning signal

ID ratio measures how aggressively deposits are transformed into (often illiquid) investments. SIBL shows **ID ratio 92.57% (2024)** and **121.15% (2023)**. Sustained very high ID ratio indicates liquidity tightness, especially if deposit confidence weakens.

FSIBL's 2024 note includes **ID ratio 122.25%** and liquidity ratios (LCR 22.75%, NSFR 71.80%) below required levels—a direct warning that liquidity management has failed.

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Figure 3: Investment–Deposit Ratio (Liquidity Stress)



Liquidity fragility is further evidenced in Figure 3, where investment-deposit ratios exceed sustainable thresholds, indicating funding stress.

“Behind the scenes” liquidity support evidence

FSIBL audit notes show reliance on Islamic liquidity arrangements including borrowings involving Bangladesh Bank and other banks, with year-end outstanding borrowings described in the audit matter.

SIBL audit note similarly indicates year-end outstanding borrowing from Bangladesh Bank and other liquidity instruments.

Economic interpretation: When weak banks require repeated liquidity backstops, the system faces a confidence problem. A merger can be used to rebuild credibility-*but only if governance and asset quality problems are fixed, not just re-branded.*

6. Discussion: What is likely happening behind the numbers?

6.1 A typical distressed-bank spiral (how weaknesses reinforce each other)

A distressed bank often follows a sequence:

1. **Rapid balance sheet expansion** (sometimes with weak underwriting)
2. **Asset quality deterioration** (classified loans rise)
3. **Provisioning increases** (profits fall or turn negative)
4. **Capital erodes** (CRAR declines; capital deficit emerges)
5. **Liquidity stress increases** (depositors shorten maturities or withdraw; bank borrows from interbank/central bank)
6. **Regulator intervenes** (restrictions, board changes, resolution/merger)

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SIBL and FSIBL evidence fits this mechanism: SIBL’s classified investment ratios above 50% and persistent losses, and FSIBL’s 2024 negative CRAR and very weak LCR/NSFR.

6.2 Why Islamic banks can still face severe liquidity crises

Even when financing is “asset-based,” banks still face:

- short-term deposit liabilities,
- longer-term financing assets,
- withdrawal risk driven by confidence (not only fundamentals).

When depositor confidence falls, liquidity stress can become self-fulfilling: depositors withdraw because they fear others will withdraw. This is the essence of bank-run logic.

6.3 The role of supervision, forbearance, and “sudden recognition”

A pattern observed in many banking crises is delayed loss recognition (“forbearance”), followed by sudden tightening (e.g., stricter classification, provisioning demands). FSIBL disclosures mention Bangladesh Bank inspection raising additional provisioning requirements and the timing of maintaining those provisions. This supports an interpretation that regulatory reassessment can rapidly change apparent solvency.

6.4 Governance and political economy

Public reporting around the five-bank merger highlights governance concerns and alleged irregularities, and links control of several banks to powerful business groups. From an economic perspective, concentrated control can raise:

- related-party exposure risk,
- weak credit discipline,
- under-provisioning incentives,
- regulatory capture risk.

The key point is not “who,” but **incentives**: when governance is weak, adverse selection and moral hazard problems—normally solved *by* banks—re-emerge *within* banks, undermining the entire intermediation function.

7. CAMELS-based “diagnosis summary” (proxy ratings)

Table 2: CAMELS proxy summary (latest available disclosures)

Component	FSIBL (latest: 2024/notes)	SIBL (latest: 2024 highlights)	GIBL (latest extractable: 2022 highlights)

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Capital	Negative CRAR indicated	CRAR 6.43%, capital deficit	CRAR 16.66%, surplus
Asset quality	Severe stress implied by regulatory note	Classified ratio 55%+	Classified ratio 1.70%
Earnings	Stressed (linked to capital/liquidity breaches)	Large losses	Positive profit after tax
Liquidity	LCR/NSFR weak; ID ratio high	ID ratio fell to 92.57% (still tight), heavy stress earlier	ID ratio 84.44%
M/S	Audit notes suggest governance/liquidity management challenges	Governance and asset quality crisis implied	Appears relatively stable in extractable years

Interpretation: SIBL and FSIBL show **resolution-level distress**. If regulators combine such institutions into one bank without removing bad assets or recapitalizing, the merged bank risks inheriting the same fragility.

8. So why merge five banks? Main reasons (with economic logic)

Reason 1: Prevent disorderly failure and contagion

A bank failure is not like a normal firm failure because deposits are money-like liabilities. A merger can preserve payment continuity and prevent panic spillovers.

Reason 2: Restore depositor confidence through “rebranding + recapitalization”

Public reporting indicates the merger involved significant capital planning and regulatory backing.

Confidence is partly a balance sheet problem and partly a coordination problem; consolidation attempts to coordinate expectations around a new institution.

Reason 3: Governance reset and resolution authority

The Bank Resolution Ordinance 2025 expanded Bangladesh Bank’s ability to merge/acquire failing institutions.

This matters because without governance reset, CAMELS weaknesses return.

Reason 4: Scale and Islamic banking market structure

Reports suggest the merged entity is intended to become a large Islamic bank capable of competing with the sector leader. Economically, scale can reduce operating cost ratios and allow better risk systems-*but scale does not fix insolvency by itself*.

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Reason 5: Liquidity management for Islamic banks (system design)

A larger bank may access broader liquidity lines, diversify deposit base, and standardize Shariah-compliant liquidity instruments. But again, this only works if the asset side is cleaned.

9. Real-world comparison: crisis mergers outside Bangladesh (why relevant)

Bangladesh's approach resembles international crisis responses where authorities facilitated consolidation to stop panic:

- **UBS–Credit Suisse (2023)** was enabled by Swiss authorities to stabilize the financial system.
- **JPMorgan–Bear Stearns (2008)** was completed as an emergency acquisition during the global crisis.

These cases show a pattern: crisis mergers are rarely “pure synergy” deals. They are **stability deals**—often with public backstops, loss-sharing, or extraordinary resolution powers.

Lesson for Bangladesh: If the merger is a resolution, the design must include:

- credible recapitalization,
- governance overhaul,
- asset clean-up (bad asset separation),
- transparency to rebuild trust.

10. Policy implications

For Bangladesh Bank and policymakers -

1. **Do not merge “bad assets” without a bad-asset strategy.**
Create a “bad bank” / asset management vehicle, or ring-fence toxic portfolios with clear recovery KPIs. Otherwise, the merged bank becomes a bigger weak bank.
2. **Recapitalize upfront and transparently.**
A merger can hide insolvency unless capital is injected and provisioning is enforced. FSIBL's negative CRAR disclosure implies recapitalization is not optional.
3. **Governance reset is not cosmetic.**
Replace boards/management where needed, enforce fit-and-proper rules, and strengthen internal controls.
4. **Strengthen Shariah-compliant liquidity infrastructure.**
Improve Islamic interbank market depth and central bank Islamic liquidity tools to reduce repeated emergency support dependence.
5. **Use resolution funds and prompt corrective action (PCA).**
Public reporting notes a resolution-fund direction.

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A PCA regime (capital triggers → mandatory actions) reduces the chance that problems reach a stage requiring forced mergers.

For depositors

- The key depositor question is **credibility**: “Is the merged entity truly stronger, or just repackaged?”

The answer depends on whether capital is injected and bad assets are separated.

For investors and practitioners

- A regulatory-led merger changes valuation logic: performance depends less on synergy and more on:
 - NPL recovery rate,
 - capital injection scale,
 - operational integration success,
 - governance enforcement.

11. Conclusion (matching the research questions)

Answer to RQ1

Yes. The evidence supports the view that the consolidation is **regulatory-led resolution** rather than a strategic synergy merger, because multiple banks show distress in CAMELS-critical areas: capital adequacy, asset quality, earnings collapse, and liquidity.

Answer to RQ2

The most binding weaknesses are **Asset Quality + Earnings + Capital**, with **Liquidity** acting as the accelerator. SIBL shows extreme classified investment ratios and persistent losses. FSIBL disclosures point to severe regulatory capital and liquidity breaches in 2024.

Answer to RQ3

The likely “behind-the-scenes” mechanism is a classic distress spiral: weak underwriting and governance incentives → rising classified assets → provisioning shock → earnings collapse → capital erosion → liquidity stress → regulatory intervention. Bangladesh Bank inspection/provisioning notes reinforce the plausibility of delayed recognition followed by tightening.

Answer to RQ4

A successful resolution-merger must include:

- **bad asset separation,**
- **credible recapitalization,**
- **governance reset,**

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- **Islamic liquidity market strengthening,**
- **resolution-fund architecture.**

Data limitation (required statement)

This study quantitatively analyzes **FSIBL, SIBL, and GIBL** because their merged multi-year financial summaries were available in the provided dataset. Comparable consistent 10-year summary data for **Union Bank** and **EXIM Bank** could not be reliably compiled from the supplied materials; therefore, the paper discusses them qualitatively and treats full five-bank CAMELS comparison as future research.

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